

Saudi Arabia Residential Rental Market Analysis 2025–2026: City Comparison for Investment Priority

1 Executive Summary

For a residential rental investor evaluating Riyadh, Jeddah, Dammam, and Al-Khobar, the analysis points to **Dammam/Al-Khobar as the strongest first-evaluation market**, followed by Jeddah, with Riyadh—despite having the most powerful demand fundamentals—ranking third due to a critical regulatory constraint. Since the internal 2021 dataset was compiled, the market has been reshaped by Vision 2030–driven urbanization, a new foreign ownership law effective January 2026 [1, 2], mandatory digital lease registration via Ejar [3], and most consequentially, a five-year rent freeze imposed on Riyadh in September 2025 [4] that caps landlord income growth through 2030.

Dammam and Al-Khobar offer the most favorable risk-adjusted profile: steady 2–3% annual rent growth [5], no rent freeze, unrestricted foreign ownership [2], competitive pricing attracting spillover demand from Riyadh, and a fragmented competitive landscape with low institutional concentration—leaving more room for mid-scale investors. Jeddah ranks second, benefiting from a \$431.3 billion western giga-project pipeline driving long-term employment growth [6] and moderate positive rent trends, though its larger supply pipeline introduces absorption risk. Riyadh delivers the strongest demand signals—apartment rents rose 10.3% year-over-year in H1 2025 [7] and Ejar contract values surged 85% in Q1 2026 [8]—but the rent freeze, intense competition from PIF-backed developers like ROSHN [9], and the highest entry costs significantly constrain near-term income upside. Notably, Saudi Arabia’s built-to-rent sector remains nascent at approximately \$0.33 billion [10], suggesting that early institutional entrants in less contested markets stand to benefit disproportionately as the sector matures.

2 Introduction

Saudi Arabia’s residential rental market is undergoing a structural transformation driven by Vision 2030’s urbanization agenda, rapid non-oil economic diversification, and a wave of regulatory reforms. Real GDP grew 4.8% in 2025 with the non-oil sector expanding 4.9% [11], creating sustained demand for housing across the Kingdom’s major cities. This report evaluates the current state of the residential rental market in Riyadh, Jeddah, Dammam, and Al-Khobar for 2025–2026, synthesizing data from CBRE, Knight Frank, JLL, Savills, REGA, and other institutional sources to help a residential rental investor determine which city to evaluate first.

The analysis supplements an internal 2021 rental listings dataset—which showed average annual rents of approximately SAR 95,000 in Jeddah, SAR 80,000 in Riyadh, SAR 75,000 in Al-Khobar, and SAR 60,000 in Dammam—with current market intelligence the dataset cannot capture. Since 2021, the regulatory landscape has shifted dramatically: a five-year rent freeze now governs Riyadh, mandatory digital lease registration through the Ejar platform has been enforced since January 2024 [3], a new foreign ownership law took effect in January 2026 [1], and the White Land Tax has been overhauled to incentivize development [12]. These changes fundamentally alter the risk-return calculus for rental investors across all four cities.

3 Rental Price Trends and Growth by City

Riyadh: From Surge to Stabilization. Riyadh posted the strongest rental growth among the four cities in H1 2025, with apartment rents rising 10.3% year-over-year and villa rents surging 14.4% [7]. However, this trajectory reversed sharply following the government’s September 2025 rent freeze, which prohibits any rental increases within Riyadh’s urban boundaries for five years [4]. By Q1 2026, quarterly rents had declined 2.8% for apartments and 1.2% for villas, though year-over-year figures remained positive at approximately 6% and 5% respectively [5]. The residential sector across all major cities is transitioning from speculative price growth to more stable, demand-driven dynamics [13].

Jeddah: Moderate and Bifurcated. Jeddah’s rental market showed a clear split between segments. Apartment rents grew 4.7% year-over-year in H1 2025, while villa rents actually declined 2.7% over the same period [7]. By Q1 2026, apartment rents remained 2.7% higher year-over-year and villa rents were up nearly 1% [5], suggesting a gradual stabilization. The villa softness likely reflects affordability pressures pushing demand toward smaller units.

Dammam and Al-Khobar: Steady and Consistent. The Eastern Province cities delivered the most consistent performance. In Q1 2026, Dammam apartment rents increased 3.2% annually while villa rents rose 2.1% [5]. Sales values in the Dammam Metropolitan Area climbed approximately 30% year-over-year, with competitive pricing attracting demand spillover from Riyadh’s more expensive market.

Chart Explanation: This chart illustrates the deceleration pattern across Saudi cities between H1 2025 and Q1

Saudi Residential Rental Growth by City and Segment

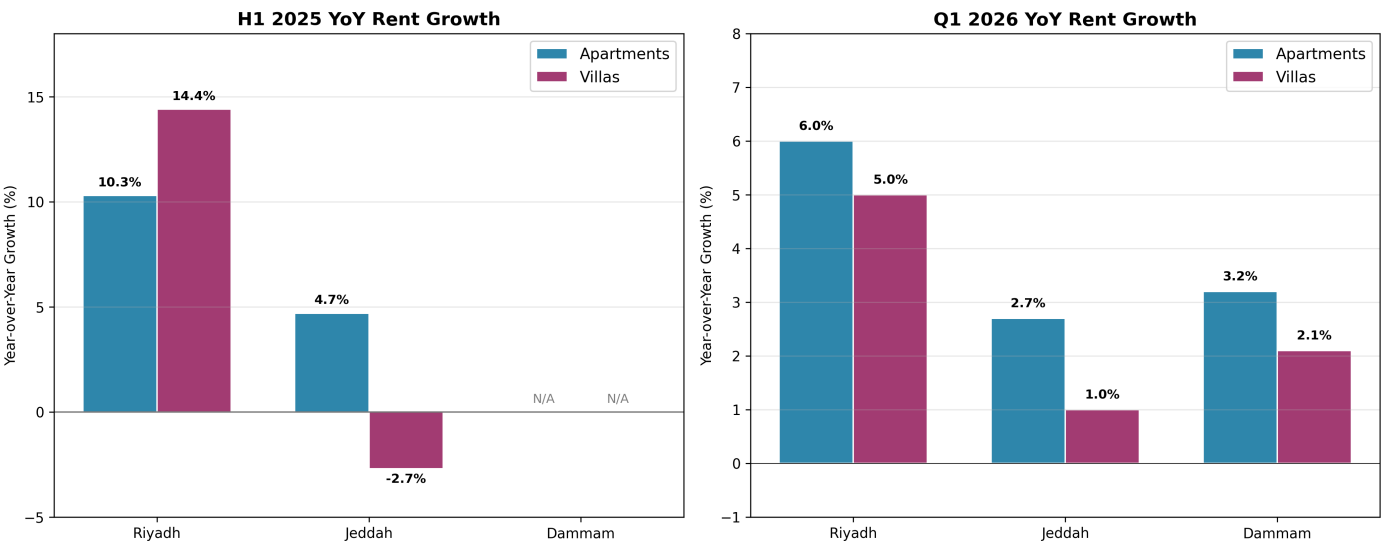


Figure 1: Rent Growth Comparison

2026. Riyadh’s growth moderated most dramatically—from double-digit rates to mid-single digits—following the rent freeze [7, 5]. Dammam emerged as the steadiest performer in Q1 2026, with balanced growth across both apartments and villas [5].

Source Conflict Flagged. Investors should note a divergence in reported Riyadh villa growth: Cavendish Maxwell reported 14.4% year-over-year growth in H1 2025 [7], while CBRE reported 11.6% year-over-year in Q3 2025 [14]. The approximately three-percentage-point gap likely reflects different measurement periods and the distinction between rental rates and capital values. Furthermore, by Q2 2026, CBRE reported national villa values declining 9.7% [15], while Cavendish Maxwell’s Q1 2026 data showed Riyadh villa prices still up approximately 7% year-over-year [5]. This divergence suggests Riyadh continues to outperform the national average, which is pulled down by weaker secondary cities.

City	Segment	YoY Growth H1 2025	YoY Growth Q1 2026	QoQ Change Q1 2026
Riyadh	Apartments	+10.3% [7]	~+6% [5]	-2.8% [5]
Riyadh	Villas	+14.4% [7]	~+5% [5]	-1.2% [5]
Jeddah	Apartments	+4.7% [7]	+2.7% [5]	Easing [5]
Jeddah	Villas	-2.7% [7]	~+1% [5]	Easing [5]
Dammam	Apartments	N/A	+3.2% [5]	—
Dammam	Villas	N/A	+2.1% [5]	—

Table: Residential Rental Growth Summary by City and Segment (2025–2026)

4 Housing Supply Pipeline and Demand Drivers

Riyadh as the Primary Growth Engine. Riyadh’s population is targeted to grow from approximately 7 million in 2022 to 10.1 million by 2030, and the city has accounted for 63% of new jobs created since 2019 [6]. The 2026 population is estimated at approximately 7.6 million [16]. On the supply side, approximately 70,000 residential units are expected in Riyadh over 2025–2026 [17], with Riyadh delivering roughly 6,000 units in H1 2025 and approximately 18,000 additional units expected in H2 2025 [7]. Major projects include Diriyah Gate (\$14.5 billion awarded), King Salman Park, and Sports Boulevard, collectively targeting 340,000 new homes by 2030 [6]. Despite this pipeline, CBRE notes the market still lacks sufficient quality stock, particularly low-density compounds in and around Riyadh, which continues to support rental growth [18].

Jeddah and Western KSA: Giga-Project Momentum. In western Saudi Arabia, 17 giga-projects worth \$431.3 billion are underway, set to deliver more than 382,500 homes by 2030 [6]. These include NEOM (\$24 billion awarded), Red Sea Global, Jeddah Central, and Qiddiya Coast. Jeddah itself added approximately 2,100 units in H1 2025, with roughly 12,700 more anticipated by year-end [7]. JLL highlights that strategic phasing by developers is helping to mitigate oversupply risks and support price stability across key residential segments [13].

Eastern Province: Emerging Opportunity. Outside Riyadh and the western corridor, giga-projects and national initiatives total \$132.3 billion, including large-scale housing programs by the National Housing Company and PI-backed ROSHN [6]. The Dammam Metropolitan Area benefits from competitive pricing relative to Riyadh,

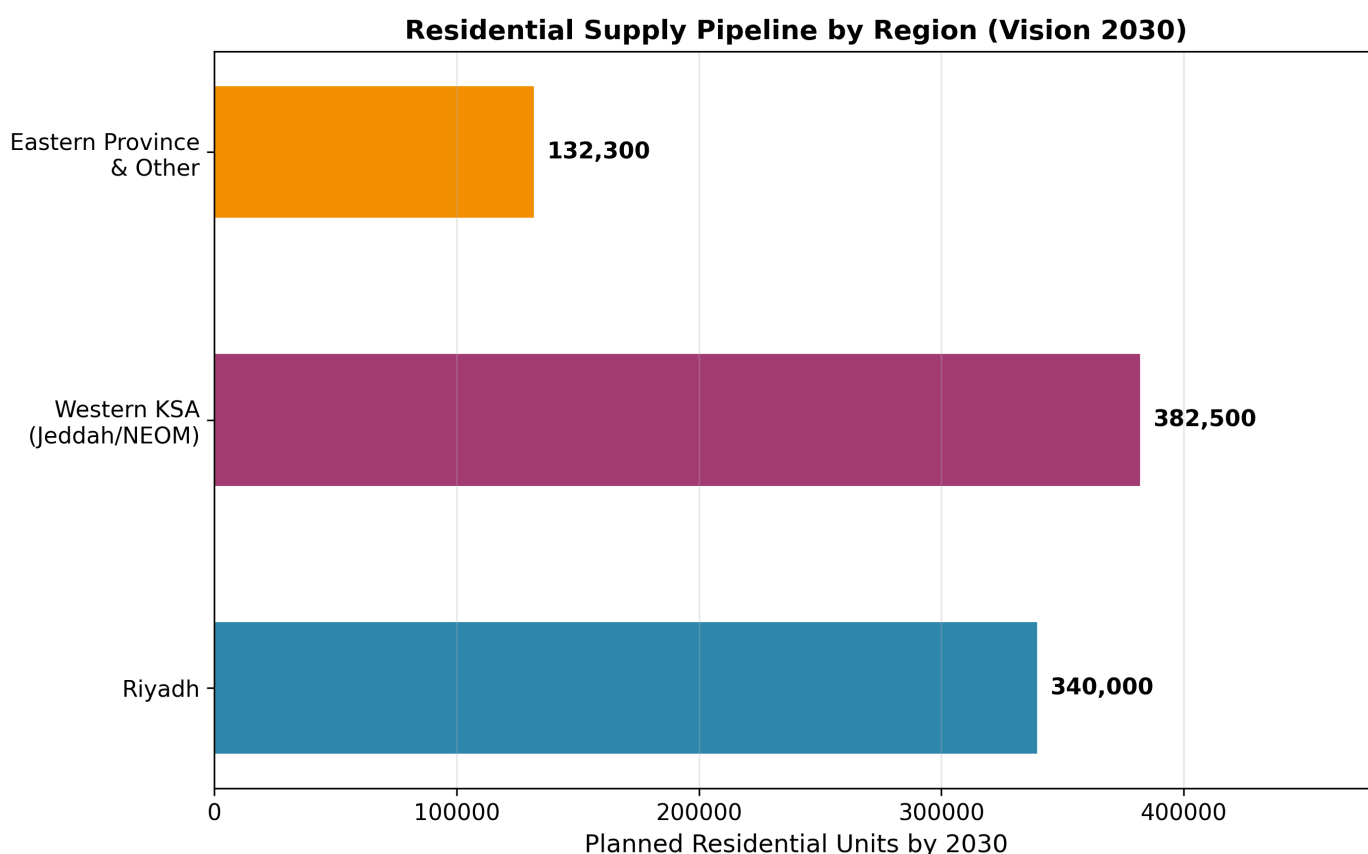


Figure 2: Supply Pipeline

Precise residential vacancy rates by city are not publicly reported in Saudi Arabia, but multiple proxy indicators paint a clear picture of market tightness. In Riyadh, market-wide office vacancy dropped to 1% in Q1 2023, with Grade A rents increasing 19% year-over-year [24]. While this is an office metric, it signals the broader supply-demand imbalance in the capital that has spilled into the residential sector, where apartment rents rose 10.3% and villa rents 14.4% year-over-year in H1 2025 [7].

The Ejar platform provides the most comprehensive demand-side data. REGA reports that Ejar has registered over 10 million rental contracts since launch, averaging 19,000 contracts per day, with residential contracts accounting for 82.3% of the total—over 8.3 million contracts [25]. Since the beginning of 2024, more than 1.5 million contracts were documented, including over 1.2 million residential and 283,000 commercial contracts [25]. Most strikingly, CBRE’s Q1 2026 review noted that Ejar contract values surged 85%, indicating a powerful shift from buying to renting as sales prices cooled [8]. This buyer-to-renter migration is further evidenced by nationwide residential transaction values contracting 26.9% year-over-year in Q2 2026 to SAR 37.67 billion [15].

Jeddah and the Dammam Metropolitan Area show moderate tightness with lower institutional concentration [13]. Supply delivery appears carefully phased: Riyadh delivered approximately 6,000 units in H1 2025 with 18,000 more expected, while Jeddah added 2,100 units with approximately 12,700 anticipated [7]—suggesting developers are calibrating delivery to match absorption capacity. Nationally, residential property prices dropped 0.38% quarter-over-quarter in Q4 2025, marking a third consecutive quarterly decline [26], which further supports the thesis that demand is rotating from ownership to rental.

6 Institutional Players and Competitive Landscape

Dominant Developers. ROSHN Group, a PIF subsidiary established in 2020, is the dominant institutional-scale residential developer in Saudi Arabia, with projects across Riyadh, Jeddah, and other cities [27]. Its flagship Sedra project in Riyadh spans 20 million square meters and targets 30,000 units. ROSHN has partnered with developers including Retal Urban Development, Ajdan, and Dar Al Arkan within its masterplans [27]. Other major players include Dar Al Arkan (the largest listed developer by market value, with the 5-million-square-meter Shams Ar Riyadh project), the National Housing Company (NHC, with Al Fursan and other communities), Al Akaria (Saudi Real Estate Company), and Retal Urban Development [28].

REITs and Built-to-Rent. Approximately 17 or more REITs are listed on Tadawul, including Riyadh REIT, Al Jazira

REIT, Jadwa REIT Al Haramain, Al Maather REIT, Musharaka REIT, Mulkia REIT, and Derayah REIT [29]. However, most REITs remain weighted toward commercial and retail assets rather than pure residential rental. The Saudi built-to-rent (BTR) market was valued at approximately \$0.33 billion in 2025 and is projected to grow at a 16.24% CAGR to reach approximately \$0.87 billion by 2031 [10], signaling that institutional residential rental is still in its early stages.

City-Level Competitive Dynamics. Riyadh is the primary concentration point for institutional residential activity, with the strongest rental demand and the largest development pipelines [17]. PIF-backed entities—ROSHN, NHC, and Diriyah Company—benefit from sovereign capital, land access, and regulatory alignment with Vision 2030, creating significant scale advantages over private entrants [9]. Jeddah and the Dammam Metropolitan Area see rising rents but lower institutional concentration, with JLL noting that affordability is increasingly shaping residential demand and buyers are prioritizing cost-effective, amenity-rich communities [13]. The DMA remains more fragmented, potentially offering more room for mid-scale investors to compete.

7 Regulatory and Policy Environment

Riyadh Rent Freeze. The most consequential regulatory change for rental investors is the five-year rent freeze effective September 25, 2025, which prohibits any increase in residential or commercial rents within Riyadh’s urban boundaries [4]. Leases renew automatically kingdom-wide unless either party provides 60-day notice; in Riyadh, landlords may only refuse renewal for tenant default, structural defects, or personal use [30]. Violations carry fines of up to 12 months’ rent [30]. This policy directly caps income growth for Riyadh rental assets at current levels through at least September 2030, and the freeze may later extend to other cities contingent on approval from the Council of Economic and Development Affairs [22].

Foreign Ownership Law. The Law of Real Estate Ownership and Investment by Non-Saudis entered into force on January 22, 2026, enabling non-Saudi individuals, companies, and investment funds to own property across 170 designated zones in Riyadh, Jeddah, Makkah, Madinah, and AlUla [1, 2]. Outside these five cities—including Dammam and Al-Khobar—foreign buyers can purchase real estate without being confined to designated zones [2]. Ownership in Makkah and Madinah is restricted to Saudi companies and Muslim individuals [1]. Premium Residency holders may own residential, commercial, and industrial property outside Makkah, Madinah, and border areas [31].

White Land Tax and Development Incentives. The White Land Tax was overhauled in May 2025, replacing the previous flat 2.5% rate with a tiered structure allowing up to 10% for undeveloped land and up to 5% or 10% for vacant properties [12]. The law was renamed the “White Land and Vacant Property Tax Law” and now also covers vacant buildings [32], creating stronger incentives for landowners to develop or sell idle plots. Additionally, the government bears VAT on up to SAR 1,000,000 of first-home purchases for citizens [33], supporting the homeownership pipeline while indirectly shaping rental market dynamics.

Ejar Platform Mandates. REGA mandated that all rent payments for residential lease contracts be restricted to digital channels through the Ejar platform starting January 15, 2024 [3]. Lessors must register any lease not already on Ejar, and tenants also have the right to initiate registration, with a 60-day objection window [30]. This digitization creates unprecedented market transparency and data availability for investors.

8 Investment Prioritization: City Comparison and Recommendations

The table below synthesizes the key investment factors across the four target cities:

Factor	Riyadh	Jeddah	Dammam	Al-Khobar
Rent Growth (Q1 2026 YoY)	~5–6% [5]	~1–2.7% [5]	2.1–3.2% [5]	Similar to Dammam
Rent Freeze	Yes, 5 years [4]	No	No	No
Population Growth Target	10.1M by 2030 [6]	Giga-project driven [6]	Spillover demand	Spillover demand
Supply Pipeline	~70,000 units 2025–26 [17]	~12,700 units H2 2025 [7]	Moderate	Moderate
Institutional Competition	Very High [9]	Moderate [13]	Low-Moderate	Low-Moderate
Foreign Ownership	170 zones [2]	170 zones [2]	Unrestricted [2]	Unrestricted [2]
Market Tightness	Extremely tight [24]	Moderately tight [7]	Strengthening	Strengthening

Table: City-Level Investment Factor Comparison

Recommended Evaluation Sequence. For a residential rental investor seeking the best risk-adjusted entry point, the analysis suggests the following prioritization:

First Priority: Dammam/Al-Khobar. The Eastern Province cities offer the most favorable combination of steady rental growth (2–3% annually), no rent freeze, low institutional competition, unrestricted foreign ownership, and competitive pricing that is attracting demand spillover from Riyadh. The fragmented competitive landscape provides more room for mid-scale investors, and the absence of regulatory caps on rent increases preserves income growth potential.

Second Priority: Jeddah. Jeddah benefits from an enormous giga-project pipeline (382,500 homes across 17 projects in western KSA) [6] that will drive long-term population and employment growth. Current rental growth is moderate but positive, and the absence of a rent freeze preserves upside. The key risk is that the massive supply pipeline could weigh on rents if absorption slows, though JLL notes developers are strategically phasing delivery [13].

Third Priority: Riyadh. Riyadh has the strongest demand fundamentals—population growth, job creation, and extreme market tightness—but the five-year rent freeze [4] effectively caps income growth at current levels through 2030. For investors focused on capital appreciation or who can acquire assets at current (frozen) rents with acceptable yields, Riyadh remains compelling. However, the combination of the rent freeze, intense institutional competition from PIF-backed entities [9], and the highest entry costs among the four cities makes it the most complex market to enter profitably in the near term.

Across all cities, the nascent BTR segment (valued at just \$0.33 billion in 2025) [10], the new foreign ownership framework [1], and the 85% surge in Ejar contract values [8] signal that Saudi Arabia’s residential rental market is entering a new institutional phase—one that rewards early movers who can navigate the evolving regulatory landscape.

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